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CIA II Assignment

On the features of Political Economy in Brazil: Institutions, Federalism, and enduring inequalities

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Introduction

Brazil presents a particularly intriguing case for the study of political economy and its features, due to its scale, institutional complexity, and persistent interaction between political structures and economic outcomes. As the largest economy in Latin America, Brazil is a smorgasbord of democratic governance, pervasive social and regional inequalities, and a federal political system. These characteristics make it well suited for a case study approach aimed at assessing core features of political economy, including elite dominance, electoral mobilisation, fiscal federalism, collective action, regulatory autonomy, and subnational fiscal accountability.

From a geopolitical perspective, Brazil occupies a strategically significant position in the international system. As a founding member of the BRICS grouping, it has sought to pursue strategic autonomy in foreign policy while deepening economic ties with major global powers. China has emerged as Brazil's largest trading partner, driven primarily by commodity exports such as soybeans, iron ore, and crude oil. This integration into global commodity markets exposes Brazil to external demand fluctuations and price volatility, linking international economic conditions directly to domestic fiscal capacity, employment patterns, and political coalitions. Brazil's geopolitical orientation therefore plays an important role in shaping both its macroeconomic performance and its political economy.

Economically, Brazil is classified as a developing, middle income country with a nominal GDP of approximately US$2.29 trillion and a population of 214 million (IMF, 2026). Its economy is predominantly service oriented, complemented by a strong industrial base and a globally competitive agricultural sector. Recent macroeconomic indicators suggest relative stabilisation following a prolonged period of stagnation: inflation has remained broadly within the central bank's target range at 4%, unemployment has declined significantly, and GDP growth has modestly recovered. However, these aggregate indicators mask deep structural challenges, particularly high income inequality and uneven regional development. Brazil continues to

display one of the highest levels of income inequality among large economies, reflecting long standing disparities in access to education, employment, human capital, and political influence..

Public debt remains elevated, constrained by constitutionally mandated expenditures and rigid budgetary structures. Fiscal policy is further shaped by Brazil's federal system, in which states and municipalities bear substantial expenditure responsibilities while remaining dependent on intergovernmental transfers. Monetary policy is conducted under an inflation targeting framework by an autonomous central bank, yet interest rates have historically remained high, reflecting institutional constraints, inflationary expectations, and political pressures.

Politically, Brazil is a federal democratic republic operating under a presidential system with competitive multiparty elections. While democratic institutions are formally well established, recent years have been marked by heightened political polarisation and debates over the appropriate balance between state intervention and market mechanisms. These developments have drawn more attention to the functions of regulatory institutions, the role of economic elites, state-market relations, and the capacity of democratic processes to deliver on promises of inclusive growth.

This study adopts a qualitative case study approach, combining institutional analysis with macroeconomic and social indicators to examine Brazil's political economy. In particular, it seeks to identify key features of political economy, trace their historical evolution, and assess how domestic institutions and external forces jointly shape economic governance and distributional outcomes.

I. Political Formation, Institutional Foundations, and Developmental Trajectory

Brazil's contemporary political economy is inseparable from the historical process through which the modern Brazilian state was formed and restructured in the late twentieth century. Following two decades of military rule between 1964 and 1985, Brazil underwent a gradual transition to democracy that promulgated the constitution in 1988. This pivotal moment in the

country's history represented a decisive shift from authoritarian governance and laid the institutional foundations for Brazil's modern economic order. The political economy that emerged from this transition is characterised by a complex combination of democratic participation, expanded social rights, and persistent structural inequalities.

Also known as the "Citizen Constitution", The 1988 Federal Constitution established Brazil as a federal democratic republic, strongly emphasising political decentralisation, social citizenship, and constitutional protection of civil and political rights. In keeping with its nickname, it embedded extensive socioeconomic rights within the constitutional framework, including universal access to health care, education, social security, and social assistance. When seen through the lens of political economy, this expansion in citizenship significantly altered the role of the state by increasing public expenditure commitments while simultaneously raising expectations of redistribution and inclusion among the electorate (Souza, 2019). The Brazilian state thus emerged as both a facilitator of markets and the guardian of social systems.

Federalism became a defining feature of Brazil's institutional architecture following democratisation. The Constitution granted substantial autonomy to individual states and municipalities, particularly in health, education, and social policy, while also lining their pockets with national tax revenue. This autonomy was intended to entrench democracy and improve social accountability by bringing governance closer to citizens on a municipal level. However, it also generated enduring tensions within Brazil's political economy, as subnational governments assumed significant spending responsibilities without corresponding fiscal autonomy, increasing dependence on federal transfers and complicating macroeconomic coordination (Arretche, 2012). These institutional choices would later shape patterns of fiscal discipline, political bargaining, and centre state relations.

Brazil's developmental trajectory since democratisation has reflected an ongoing negotiation between state led development and market oriented reforms. During the early post transition period, economic policy was corralled by hyperinflation, external debt, and macroeconomic instability. The Real Plan in the mid 1990s, marked a turning point by successfully stabilising prices and restoring monetary credibility. This period also saw ameliorating privatisation, trade liberalisation, and regulatory reform, signalling a shift toward a more market oriented

development strategy within a democratic framework (World Bank, 2003). Nevertheless, the state retained a significant role in coordinating investment, regulating key sectors, and managing social policy.

The early twenty first century brought further evolution in Brazil's political economy, as economic growth and improved fiscal conditions allowed for the expansion of redistributive social programmes. Governments during this period combined macroeconomic orthodoxy with active social policy, most notably through conditional cash transfer schemes and increased minimum wages. These policies contributed to reductions in poverty and inequality, reinforcing the political salience of social inclusion within Brazil's democratic system (IPEA, 2014). On the other hand, they increased the long term fiscal obligations of the state, especially in the context of an ageing population, thus slowing economic growth.

Demographic dynamics form an important structural backdrop to these institutional and developmental changes. Brazil has undergone a rapid demographic transition since the late twentieth century, characterised by declining fertility rates, rising life expectancy, and a still substantial working age population. This transition has created both opportunities and constraints for the political economy. While a large labour force supported growth and expanded the overall tax base during the 2000s, an ageing population has intensified pressures on pension systems, health care spending, and public finances (United Nations, 2022). These demographic trends interact closely with Brazil's institutional framework, influencing fiscal sustainability, labour markets, and political incentives.

Brazil's political formation and developmental trajectory reveal a political economy shaped by democratic transition, constitutional expansion of social rights, decentralised federalism, and shifting development strategies. Understanding this institutional and historical context is essential for analysing the specific features of Brazil's political economy, including elite dominance, electoral mobilisation, fiscal federalism, and regulatory autonomy, which are examined in the forthcoming sections.

II. Ideological Shifts, Political Change, and Democratic Contestation

Brazil's political economy since democratisation has also been moulded by drastic shifts in ideology. The 1990s marked a critical ideological turning point as Brazil moved away from the state sponsored developmentalism that had characterised much of the earlier twentieth century.

Under the presidency of Fernando Henrique Cardoso, economic policy was guided by an emphasis on market integration coupled with macroeconomic stability and fiscal accountability. Reforms during this period included, but were not limited to privatisation of state owned enterprises, liberalisation of trade, and the strengthening of regulatory institutions, particularly in telecom and energy sectors. These reforms were ideologically postulated as necessary steps in modernizing the Brazilian economy and restoring credibility following decades of inflation and fiscal imbalance (Pinheiro, 2018). At the same time, democratic institutions constrained the extent of reform, requiring negotiated compromises within Congress and with subnational governments.

The election of the Workers' Party in the early 2000s signalled a reorientation of Brazil's political economy towards a more explicitly social developmental model. While maintaining key macroeconomic fundamentals, including inflation targeting and fiscal responsibility laws, governments during this period expanded the role of the state in redistribution and social inclusion. Programs like Bolsa Família, along with bumps in minimum wage, and broader credit access reflected an emphasis on poverty reduction and demand driven growth (Hall, 2008). This shift was closely linked to electoral mobilisation among lower income groups, who became an increasingly important political constituency. As a result, social policy became central to both economic strategy and democratization.

From the mid 2010s onwards, Brazil entered a period of heightened political and ideological contestation. Mass protests beginning in 2013, followed by economic recession and corruption scandals, weakened public trust in political institutions and intensified polarisation. The impeachment of President Dilma Rousseff in 2016 marked a decisive moment, exposing deep divisions over executive authority, and the boundaries of democratic and fiscal accountability.

Subsequent governments adopted a more market liberal discourse, espousing fiscal austerity and reduced state intervention, while simultaneously relying on strong executive authority and confrontational political rhetoric (Hunter & Power, 2019).

These developments highlight the central role of democratic contestation in shaping Brazil's political economy. Electoral competition has remained robust, yet it has increasingly taken place within a polarised environment in which ideological divisions are framed in moral and identity based terms. This has implications for economic governance, as policy continuity becomes more difficult and regulatory institutions are subject to political pressure. At the same time, Brazil's system of coalition presidentialism continues to require broad legislative alliances, reinforcing the influence of centrist and elite actors in shaping policy outcomes regardless of ideological shifts at the executive level.

As Brazil's population ages and labour force growth slows, political debates over pensions, labour market regulation, and social spending have become more salient. Competing ideological visions offer different responses to these challenges, ranging from market based adjustment to expanded social protection. These debates reflect not only economic constraints but also shifting electoral incentives in a democracy where demographic composition increasingly shapes political preferences and policy priorities (United Nations, 2022).

Overall, Brazil's post democratisation experience demonstrates how ideological shifts and political contestation interact with democratic institutions to shape the political economy. Changes in development strategy, social policy, and fiscal governance have been mediated by electoral competition, coalition politics, and public mobilisation. These dynamics provide essential context for understanding how specific features of Brazil's political economy such as elite dominance, vote bank politics, and regulatory autonomy operate in practice, which are examined in the following section.

III. Core Features of Brazil's Political Economy

A defining characteristic of Brazil's political economy is the persistence of elite dominance within its democracy. Despite the expansion of political rights following democratisation, economic and political power in Brazil remains highly concentrated in the hands of the private elite and large corporate actors. Historically rooted in Brazil's colonial and oligarchic past, elite influence has adapted to democratic rule rather than being shackled by it. While electoral competition has intensified, access to policymaking remains uneven, with organised business interests exercising disproportionate influence through financing partisan political campaigns, and privileged access to executive and legislative actors (Schneider, 2013). This concentration of power is reflected in policy outcomes, most notably Brazil's highly regressive indirect tax system, limited wealth taxation, and the prioritisation of credit and regulatory frameworks to ensure that those in power stay in power. Given the structural organisation of elite actors and their embeddedness within coalition politics where multiple political parties sway the passing of the president's legislation, elite dominance is likely to remain an unabating feature of Brazil's political economy.

Electoral mobilisation constitutes another central feature, particularly through the interaction between mass voting behaviour and redistributive policy. Since the early 2000s, electoral competition has increasingly revolved around social welfare commitments, reflecting the political salience of lower income voters in a highly inequitable society. Programmes like Bolsa Família played a critical role in integrating the marginalised populace into democratic politics by linking financial aid to education and health requirements via conditional cash transfers, thereby strengthening electoral participation and loyalty (Hall, 2008). Empirical evidence indicates that these programmes, while contributing to some alleviation in poverty and inequality, also reshaped voting patterns, adding poorer regions of the country to the electorate (IPEA, 2014).

However, this form of mobilisation has entrenched a political economy in which social spending becomes closely tied to electoral incentives, making fiscal budget cuts politically harfmul. As long as inequality and informality persist, electoral mobilisation through redistributive policy is likely to remain a central mechanism of democratic competition.

Brazil's system of fiscal federalism further illustrates the interaction between political structures and economic outcomes. The 1988 "Citizen Constitution" significantly decentralised expenditure responsibilities, particularly in socially responsible arenas like education, healthcare, and welfare benefits, while revenue raising mechanisms remained relatively concentrated at the central/federal level. As a result, decentralized states and municipalities heavily depend on intergovernmental transfers, weakening incentives for fiscal discipline and complicating macroeconomic coordination (Arretche, 2012). Subnational governments often operate under soft budget constraints, expecting federal intervention to prevent or mitigate fiscal crises. This dynamic has had lasting effects on Brazil's public finances, contributing to recurring debt negotiations, uneven fiscal performance across states, and persistent centre state bargaining over resources. The institutional design of Brazilian federalism has therefore constrained the effectiveness of fiscal adjustment and reinforced the political salience of intergovernmental negotiations.

Closely related to fiscal federalism is the issue of limited fiscal accountability at the subnational level. In response to chronic deficits and rising public debt, the federal government introduced the Fiscal Responsibility Law in 2000, which imposed borrowing limits and expenditure ceilings, as well as overall transparency requirements on all levels in a bid to fight its pervasive corruption. While the law initially strengthened fiscal discipline and reduced discretionary borrowing, its enforcement has weakened over the course of time due to political pressures, judicial exemptions, and repeated federal bailouts of states flooded with debt (IMF, 2018). During electoral cycles, fiscal rules are frequently circumvented through off budget operations and corruption, undermining the credibility of fiscal institutions. This pattern reflects a political economy where formal fiscal constraints coexist with weak enforcement, limiting long term fiscal sustainability and reinforcing a lack of public trust toward economic governance. Without stronger mechanisms for enforcement and revenue autonomy at the subnational level, limited fiscal accountability is likely to persist and remain a key feature of Brazil's political economy for years to come.

Collective action in Brazil exhibits deep asymmetries, reflecting social fragmentation and coordination failure. Organised actors, namely business associations, agricultural lobbies, and public sector unions are able to exert sustained influence over policy due to their access to

resources and institutional power. By contrast, informal workers and the marginalized face higher barriers to sustained mobilisation, despite their numerical strength. Large scale protests, most notably those in 2013, demonstrated the capacity for collective mass mobilisation but also revealed its limitations, as the absence of institutional channels muddled the translation of popular demands into tangible policy outcomes (Avritzer, 2016). This imbalance in collective action reinforces elite dominance and limits the redistributive potential of democratic participation, suggesting that social fragmentation will continue to shape political outcomes.

Finally, Brazil's political economy is shaped by ongoing tension between its autonomous regulatory institutions and interventionist state. Since the 1990s, Brazil has created independent regulatory agencies and adopted an inflation targeting regime to separate economic policy from short term political pressures. Brazil's establishment of its Central Bank in 2021, represented an attempt to strengthen monetary credibility and policy stability through its legal autonomy (Banco Central do Brasil, 2021). Although, in practice, regulatory autonomy remains constrained by executive influence over appointments, and shifting ideological priorities stemming from different parties in the coalition presidentialist system. Regulatory decisions are frequently contested in Congress and the judiciary, highlighting the difficulty of maintaining institutional insulation in a political system fraught with fragmentation. As a result, regulatory autonomy in Brazil remains conditional and politically mediated as opposed to prevailing and absolute.

Despite the persistence of elite dominance within Brazil's democracy, institutional and political developments indicate that elite control is not without historical opposition. The expansion of prosecutorial autonomy and judicial oversight since the 2000s has increased scrutiny over elite behaviour, most visibly through anti corruption crackdowns like operation Car Wash. Beginning in March 2014 with a money laundering investigation of a car wash in Brasília, the operation revealed a massive corruption scheme within the Brazilian federal government, particularly in state owned enterprises. The operation resulted in over 200 convictions, including the imprisonment of current president Luiz Da Silva and the impeachment of the president Dilma Rousseff (MPF, 2018). The scandal plunged the economy into a recession, due in part to disrupting entrenched political business networks like Petrobras and its infrastructure development (Power and Taylor, 2019).

Similarly, while electoral mobilisation through redistributive programmes have tied social spending to political incentives, it has also produced real, tangible reductions in poverty and strengthened state capacity at the local level. Evidence shows that Bolsa Família improved school attendance, health outcomes, and labour market attachment. It was instrumental in weakening intergenerational poverty traps, rather than merely serving as an electoral tool, poverty falling from 22 percent of the population to 7 percent (Hall, 2008; World Bank, 2017). As Brazil's demographic transition progresses and educational attainment rises, the electorate may gradually demand more programmatic and less clientelistic forms of redistribution, reducing the dominance of welfare centred electoral competition over time, but this remains to be seen, and Brazil's form of welfare maximizing electoral mobilisation

Counteractive forces are also visible in the domains of fiscal federalism and acountability, as well as through collective action. Though decentralisation has generated soft budget constraints and recurring centre state bargaining, incremental reforms such as the expenditure ceiling introduced in 2016 and renegotiated state debt frameworks have imposed clearer fiscal boundaries on subnational governments, limiting discretionary bailouts and strengthening federal oversight (IMF, 2018). While enforcement remains uneven, these measures indicate a gradual shift toward legislation based coordination rather than just political negotiation. In parallel, Brazil's fragmented patterns of collective action have been partially offset by the introduction of participatory mechanisms such as policy councils in health, education, and social assistance, which have expanded representation for historically marginalised groups in formal policymaking (Arretche, 2018). Although regulatory autonomy remains politically mediated, the formal independence of the Central Bank and the consolidation of inflation targeting have enhanced macroeconomic stability and reduced policy volatility across electoral cycles, even amid ideological shifts (Banco Central do Brasil, 2021; OECD, 2022).

Furthermore, State to market relations further reinforce the core features of Brazil's political economy. Rather than a sharp separation between public authority and private enterprise, Brazil exhibits a hybrid arrangement in which markets operate through interaction with the state. A key institutional mechanism in this relationship has been the introduction and role of public financial institutions, most notably the National Development Bank, BNDES. During the 2000s and early 2010s, BNDES provided long term, subsidised credit to strategic sectors like manufacturing,

energy, and infrastructure development, being especially helpful during periods of global financial volatility. This intervention helped stabilise investment and sustain economic activity when private credit markets couldn't (Lazzarini et al., 2015). However, access to development finance was highly concentrated with large firms that held political connections benefiting disproportionately, reinforcing the cycle of elite dominance within the private sector, and inequality.

Altogether, these developments suggest that while Brazil's political economy continues to be shaped by inequality, fragmentation, and elite influence, it also contains endogenous mechanisms of adjustment that may gradually recalibrate the balance between, economic governance, and social accountability present in the features of its current political economy.

Conclusion

On a conclusory note, Brazil's political economy emerges from this analysis as a system defined less by institutional fragility than by institutional tension and manipulation. The late twentieth century produced an expansive constitutional order that embedded social rights, decentralised governance, and electoral accountability, while simultaneously constraining fiscal flexibility and entrenching complex bargaining among political and economic elites. Subsequent ideological shifts did not fundamentally alter these foundations but instead reshaped how the state mediated between markets, voters, and organised interests. The persistence of elite dominance, the centrality of redistributive electoral mobilisation, and the structural features of fiscal federalism reveal a political economy in which democratic participation coexists with highly uneven influence over policy outcomes. At the same time, recent efforts to strengthen regulatory autonomy, improve fiscal transparency, and expand social inclusion indicate that these features are malleable and can be changed in the future.

Looking ahead, Brazil's future political economy will be increasingly shaped by the interaction between demographic transition, fiscal constraints, and democratic contestation. An aging population and slower labour force growth will intensify pressures on pensions, health spending,

and public finances, narrowing the space for redistribution across the board, without corresponding revenue reform.

This is likely to intensify political conflict over the state's role in taxation and social policy, being especially harmful within a fragmented coalition system. While elite influence and central state bargaining are likely to remain, incremental electoral reforms and greater regulatory penalization, may gradually recalibrate the balance between inclusion and sustainability. Brazil's development trajectory hence lies not in the abandonment of its democratic political economy, but in its capacity for adaptation, notably its coalition presidentialism, in managing inequality, fiscal discipline, and political competition within the constraints it has itself created.

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